

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>

To find the profit , we first need to find the total cost of the project , which is <think>

The total cost of the project is the initial cost of the house plus the cost of repairs , which is \$ 8 0 , 0 0 0 + \$ 5 0 , 0 0 0 = \$ 1 3 0 , 0 0 0 .

Then , we need to find the value of the house after the repairs were made . The problem states that the repairs increased the value by 1 5 0 % of the original value , so the new value of the house is <think>

The new value of the house can be calculated by multiplying the original value by 1 (for the initial value) and then adding 1 5 0 % of the original value , which is \$ 8 0 , 0 0 0 + (0 . 1 5 * \$ 8 0 , 0 0 0) = \$ 8 0 , 0 0 0 + \$ 1 2 , 0 0 0 = \$ 9 2 , 0 0 0 .

Now , the profit is found by subtracting the total cost of the project from the new value of the house , which is \$ 9 2 , 0 0 0 - \$ 1 3 0 , 0 0 0 = -\$ 3 8 , 0 0 0 .

</think>.

The negative sign indicates a loss , which is -\$ 3 8 , 0 0 0 .

</think>

<answer>

-\$ 3 8 , 0 0 0

</answer>

